



INTERIM FINANCIAL STATEMENTS

UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2022

Condensed Statement of Comprehensive Income for the six months ended 30 June 2022

	Group 30-Jun-22 Kshs'000	Group 30-Jun-21 Kshs'000
Turnover	1,297,325	837,224
Cost of sales	(1,019,504)	(602,599)
Gross profit	277,821	234,625
Operating expenses	(264,526)	(251,729)
Profit/(loss) from operations	13,295	(17,104)
Impairment write-back	2,074	11,252
Depreciation and amortization	(125,945)	(136,133)
Loss from operating activities	(110,576)	(141,895)
Interest expense	(156,357)	(159,141)
Net exchange gains / (losses)	1,510	(4,544)
Loss before tax	(265,423)	(305,670)
Income tax credit	79,509	77,350
Loss for the period	(185,914)	(228,320)
Loss from operations attributable to:		
Equity holders of parent company	(158,500)	(198,327)
Non-controlling interest	(27,414)	(29,993)
Loss for the period	(185,914)	(228,320)
Basic and Diluted Earnings per share (KShs)	(0.53)	(0.78)

Condensed Statement of Financial Position as at 30 June 2022

	Group 30-Jun-22 Kshs'000	Group 30-Jun-21 Kshs'000
Assets		
Non-current assets	4,585,772	4,697,111
Current assets	1,020,015	848,720
Total assets	5,605,787	5,545,831
Equity and liabilities		
Share Capital	126,563	126,563
Reserves	1,071,921	1,005,621
Non-controlling interest	8,464	26,281
Non-current liabilities	2,477,250	3,098,099
Current liabilities	1,921,589	1,289,267
Total equity and liabilities	5,605,787	5,545,831

Condensed Statement of Cash flows for the six months ended 30 June 2022

	Group 30-Jun-22 Kshs'000	Group 30-Jun-21 Kshs'000
Cash generated from operations	8,342	28,226
Income taxes paid	-	-
Cash flows generated from operating activities	8,342	28,226
Cash flows from investing activities	96,868	-
Cash used in financing activities	(88,836)	(142,533)
Increase / (decrease) in cash and cash equivalents	16,374	(114,307)
Cash and cash equivalent at 1 January	96,533	190,035
Cash and cash equivalent at 30 June	112,907	75,728

Condensed Statement of Changes in Equity for the six months ended 30 June 2022

	Group 30-Jun-22 Kshs'000	Group 30-Jun-21 Kshs'000
Share capital	126,563	126,563
Share premium	545	545
Revaluation reserve	2,050,760	2,045,342
Revenue reserve	(903,532)	(943,361)
Exchange reserve	(75,852)	(96,805)
Total equity attributable to equity holders of company	1,198,484	1,132,184
Non-controlling interest	8,464	26,281
Total Equity	1,206,948	1,158,465

East African Cables Plc announces the un-audited financial results for the half year ended 30th June 2022.

KEY HIGHLIGHTS

The Group recorded revenue growth of 55% in the 1st half of the year. The growth is attributed to increased sales volumes, focus on new market channels, market development and gradual recovery of our Tanzania subsidiary.

EBITDA for H1 2022 was positive while net earnings improved by 19% compared to the same period previous year.

The Group recorded improved performance despite an operating environment that was characterized by sharp increase in metal prices, unfavorable exchange rates and severe global logistics disruptions.

OUTLOOK

In the 2nd half of the year, we will continue to focus on top line growth as we take advantage of our diverse product range, brand equity and partnerships to serve the market better. The just-concluded general elections slowed down demand in the period leading up to the elections but we project an upswing in the coming months to re-stock the market.

Additional effort is also going into streamlining supply chains to improve efficiencies and deepening relationships with our stakeholders to grow the business.

DIVIDEND

The directors do not recommend payment of an interim dividend.

By Order of the Board

Virginia Ndunge
Company Secretary
Nairobi,

29th August 2022